



Market Briefs **Pro**

Read less news

Good morning, Pro Briefers!

From your iPhone to your jeans, U.S. businesses have been sending jobs overseas for decades.

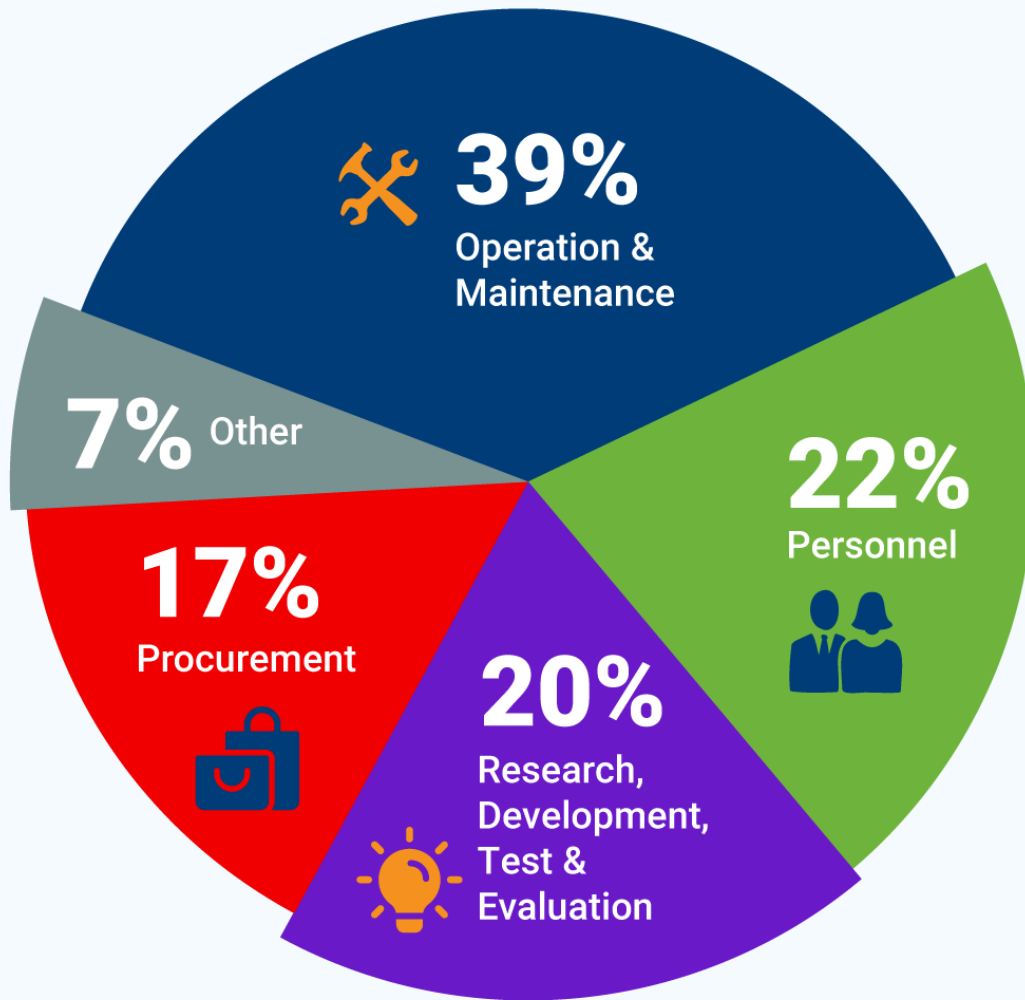
Why? *To reduce costs.* Lower wages in emerging economies have allowed businesses to outsource jobs, helping to increase profits.

However, it's not just phones that are being outsourced - things like microelectronics and weapons are also made overseas.

The problem: Outsourcing has led to less access to those supply chains - leaving our defense systems potentially exposed.

Our military has recognized this and is paving the way for a new era, building more defense supplies here in the U.S.

U.S. defense budget \$820B



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Image [via](#) Office of Management and Budget

This is where we've identified a Government Shift:

The U.S. is rebuilding its defense industry at home, and multi-year contracts worth billions are creating opportunities for investors to profit from the companies making critical parts.

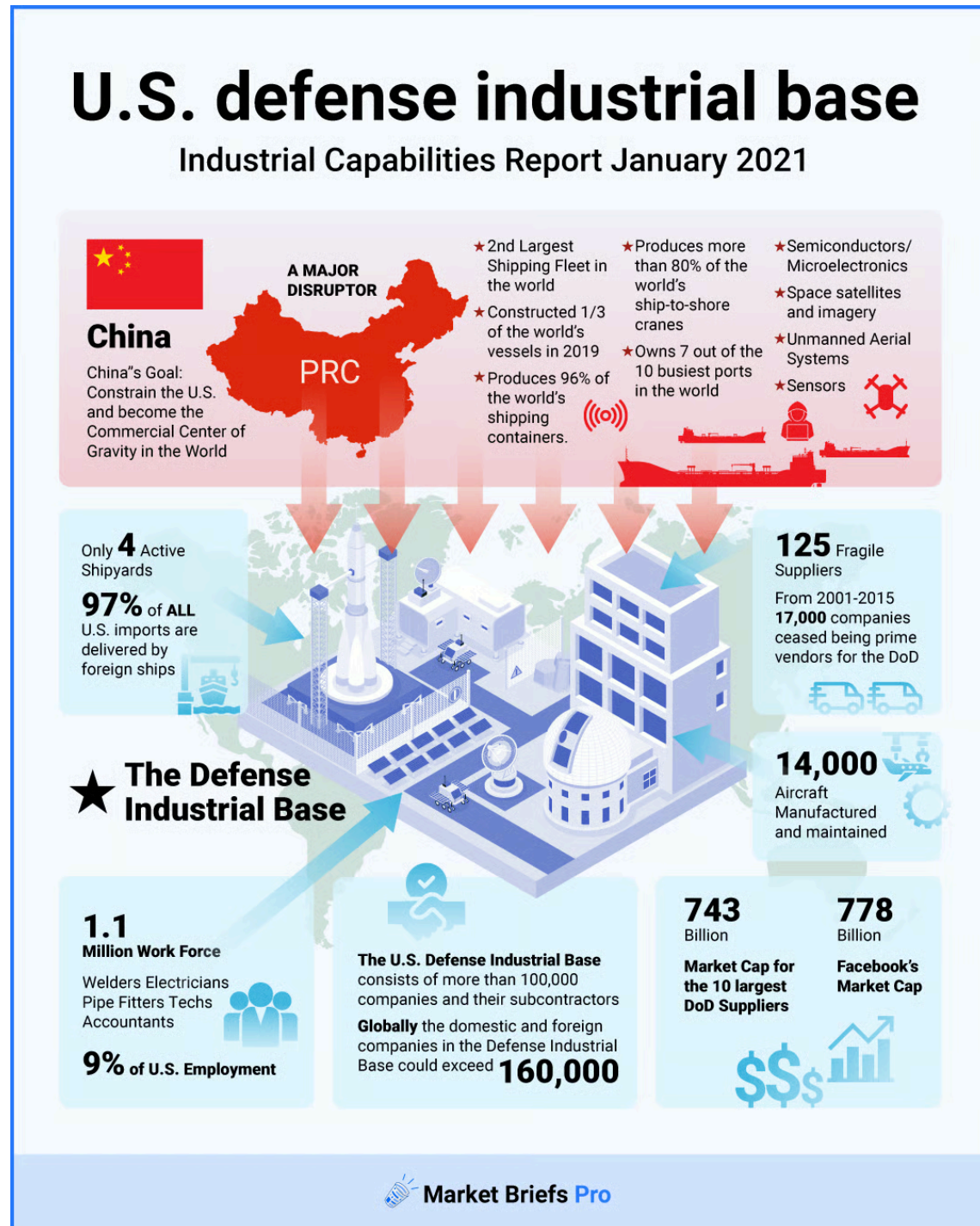
But why now? Several events over the past few years sparked a need to become less reliant on foreign made defense supplies.

2020: The pandemic shut down supply chains, which meant the U.S. military couldn't get critical parts.

2022: We sent defense supplies to help Ukraine fight Russia, and we sometimes gave away weapons faster than we could replace them.

2025: Rising tensions over rare earth minerals with China has put national security into question.

In short: We can't defend ourselves if we can't make our own stuff.



Data via Office of the Under Secretary of Defense

Big bills like the IRA, the CHIPS Act, and the IIJA each included provisions to bring defense manufacturing back to America.

- Repair facilities are being reclassified from "industrial companies" to "critical infrastructure."

And now checks are being written.

Multi-year contracts with guaranteed payments, some lasting nearly a decade, are landing at companies making nuclear submarine parts, military electronics, and repair services.



Data [via](#) the Department of Defense

This isn't political either - it's a part of a long-standing national security plan. Some of these contracts have survived from the Biden administration to the

Trump administration.

The current administration has signed even more of these deals, as critical infrastructure becomes more of a focus.

These defense policies focusing on U.S. manufacturing are leading to hundreds of billions of dollars in planned spending.

Let's look at where the billions are going, and which companies may benefit most.

ANALYST REPORT

Tickers we're tracking:

Submarines: BWXT

Electronics: MRCY

Repairs: HEI

ETFs: ITA, PPA, XAR

SUBMARINES

The Nuclear Option

Reindustrialization of our defense systems here at home is starting with nuclear submarines.

The reason? Nuclear submarines are designed to survive the apocalypse.

If satellites, military bases, or other communication systems get wiped out - nuclear submarines need to keep working as America's last line of defense.

That means creating parts for these submarines is extremely vital to our defense.

Two submarine classes matter most to our nation's defense: Virginia-class attack submarines and Columbia-class ballistic missile submarines.



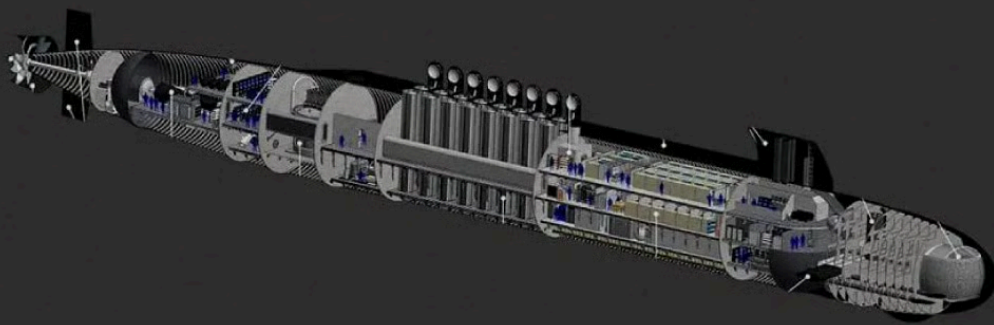
DREADNOUGHT CLASS

SUBMARINE



COLUMBIA CLASS

SUBMARINE



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Image [via](#) Army Recognition

Both are nuclear-powered, and both need incredibly specialized parts - reactor components that can handle extreme pressure, heat, and radiation.

Only one company in America makes those parts: BWX Technologies (BWXT).

BWX doesn't make the whole submarine, but they make the nuclear reactor components, the heat exchangers, and the pressure vessels that keep the nuclear power running.

These aren't parts you can shop around for - the Navy has designated BWX products as "mission critical," which means without these parts, the submarines literally cannot function.

- In July 2025, BWX signed a \$2.6 billion contract with the U.S. Navy for Columbia-class submarine components.

That single contract extends their backlog of work for the U.S. Navy to 8 years, giving them nearly a decade of guaranteed revenue.

But here's what makes BWX even more interesting right now: *It's expanding.*

The company is building new machine facilities and fabrication plants in the United States, bringing more of its supply chain in-house and on American soil.

This makes them a key opportunity as the U.S. continues to bolster defense spending efforts here at home.

BWX shares are up 85% from January 1st, 2025 through October 20th, 2025, and over 260% since 2021.

BWX Technologies, Inc. (BWXT)

YTD Price → **205.90**
(84.85%)



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Data [via](#) Yahoo! Finance

- In that time, the S&P 500 is up by around 100% from 2021-2025.

As the U.S. commits more money to rebuilding its nuclear submarine fleet, BWX stands positioned to benefit directly from increased spending.

In 2024, the company earned \$2.7 billion in revenue, an increase from \$2.4 billion in 2023 and its third straight year of revenue growth.

Plus, it's the only company that makes these parts in the military submarine space - with consistent revenue and a backlog of orders through 2033.

That makes BWX a potential opportunity worth watching for investors, as this shift progresses over the next few years.

ELECTRONICS

An Electric Edge

For decades, the military took a shortcut by buying commercial computers and electronics, then modifying them for defense use.

Everything from regular laptops to standard processors were bought and reprogrammed.

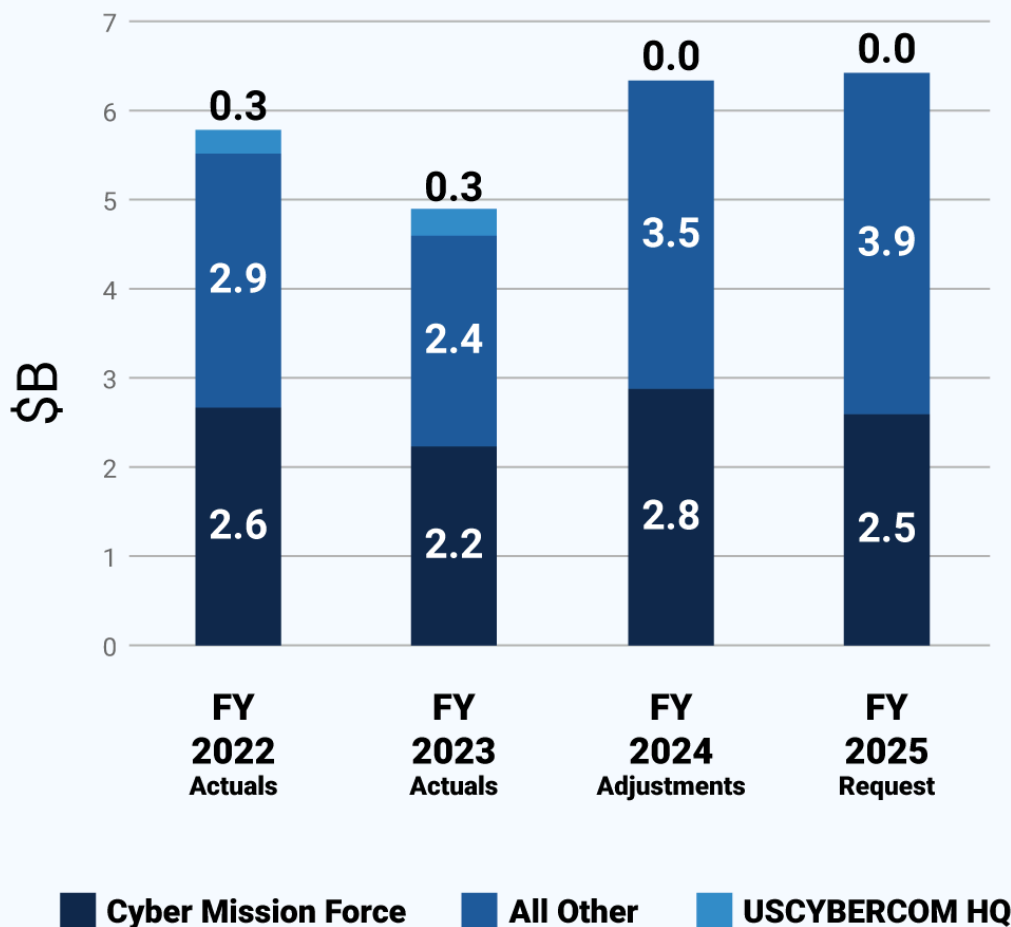
But in the modern age of war, that tactic doesn't cut it anymore.

We spoke with Gavin Brown of Dynamic Predictive Engineering to learn more about this electronic shift in defense.

"Today's weapon systems do not just provide specific superiority in the battlefield, they are integrated into an ecosystem of strategic capabilities, combined with other technologies that offer an unassailable advantage to the U.S. military."

That's because in modern warfare, having the best computers is becoming just as important as who has the best weapons.

DoD FY 2025 cyberspace operations budget



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Data [via](#) the Department of Defense

The U.S. saw this in real time when the Russia-Ukraine conflict heated up in 2022 - the largest military conflict in Europe since World War 2.

- Russia jammed GPS signals, Ukraine hacked Russian communications, and both sides used drones controlled by sophisticated electronics.

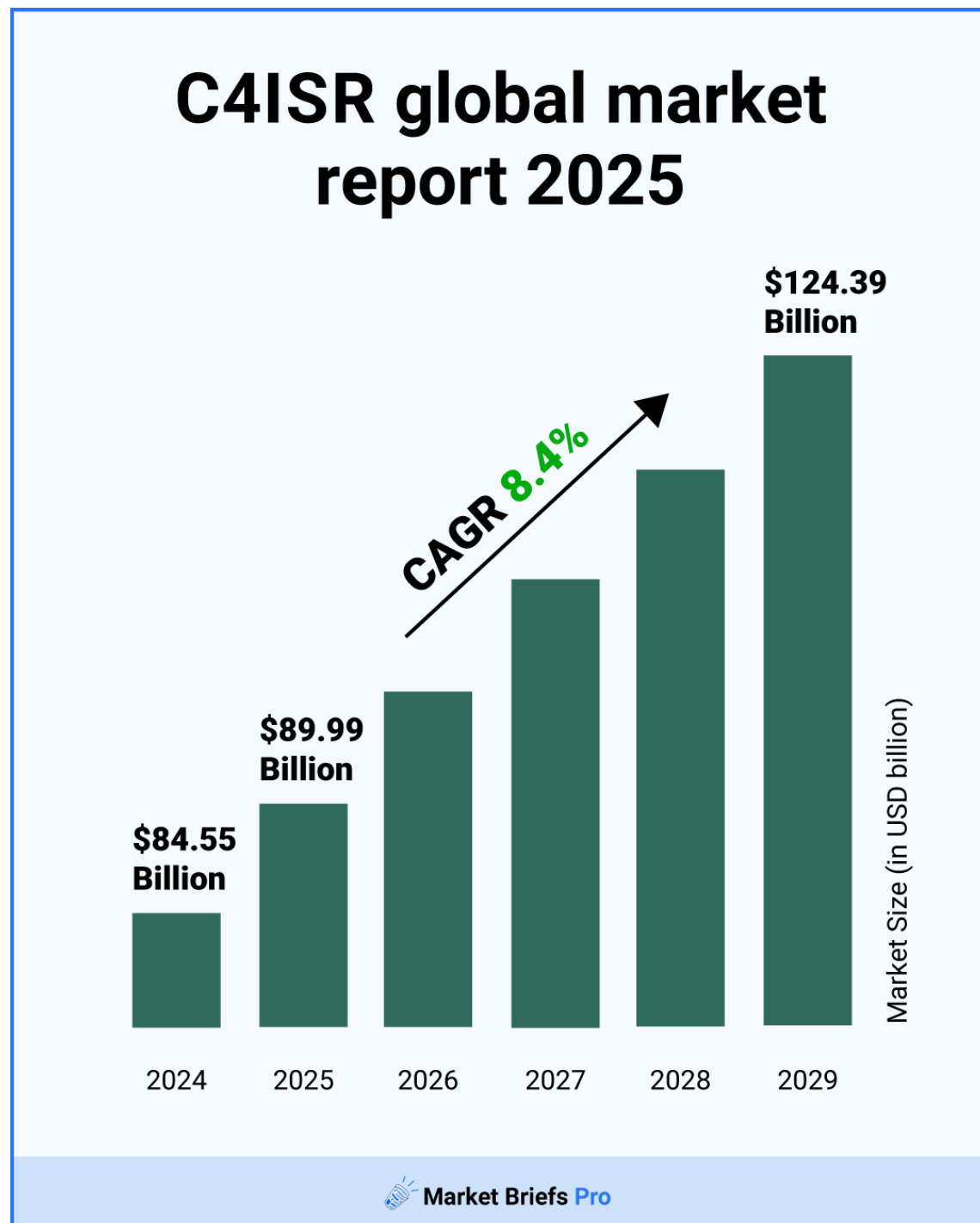
It has become clear that commercial electronics are not sufficient to keep a nation safe, and neither are traditional means like tanks.

When our analysts spoke to Gavin Brown, he affirmed this,

"As we develop more advanced integrated platforms that can simultaneously combine space, air, land and sea assets, the battlefield advantages work to provide a latency-free offensive and defensive winning capability in realtime."

Countries including the U.S. now need computing built from scratch, purpose-designed for combat, and able to resist jamming, hacking, and electronic warfare.

The military has a framework for this called C4ISR: Command, Control, Communications, Intelligence, Surveillance, and Reconnaissance.



In English: It's the technology that helps commanders see the battlefield, communicate with troops, and make decisions faster than the enemy.

Enter: Mercury Systems (MRCY).

Mercury makes the computing brains that go inside defense systems like signal processors and rugged computers designed specifically for military use.

- Their hardware powers missile defense systems, radar installations, electronic warfare equipment, military drones, and communication networks.

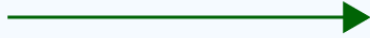
Basically, it works like this: We've reported on other defense companies like RTX, L3Harris, or Northrop Grumman in recent years.

All of those companies are traditional defense contractors - they make weapons for governments around the world.

Mercury makes the electronics that make those weapon systems work.

Mercury Systems, Inc. (MRCY)

1 Year Price



78.03
(126.18%)



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Image [via](#) Yahoo! Finance

The company has been in the aerospace and defense industry for years as well, and everything it builds is made for a specific purpose in our military supply chain.

And as these electronics grow in demand, Mercury has seen its revenue rise.

Their Q3 2025 results beat Wall Street expectations, the company raised its full-year guidance, and their backlog of orders climbed to \$1.3 billion.

90% of Mercury's customers are the Department of Defense (DoD) or companies that sell to the DoD, and these are long-term contracts that keep growing.

Mercury has also scaled up production while increasing their cost per unit, which means it's making more money on each sale, while selling more products.

The stock has had a rough five years and is just now approaching its 2020 highs, with shares up 126% in the last year as of October 20th, 2025.

- The company finally hit positive earnings per share after years of investment and development.

As the government shifts more spending toward C4ISR systems made in America, Mercury is in a position to benefit from more spending on defense.

That makes it a potential stand-out opportunity for investors, as demand for defense electronics increases alongside conflicts and defense.

REPAIRS

The Military Repairman

Whether it's a tank or a computer, defense systems have one ultimate reality: They break.

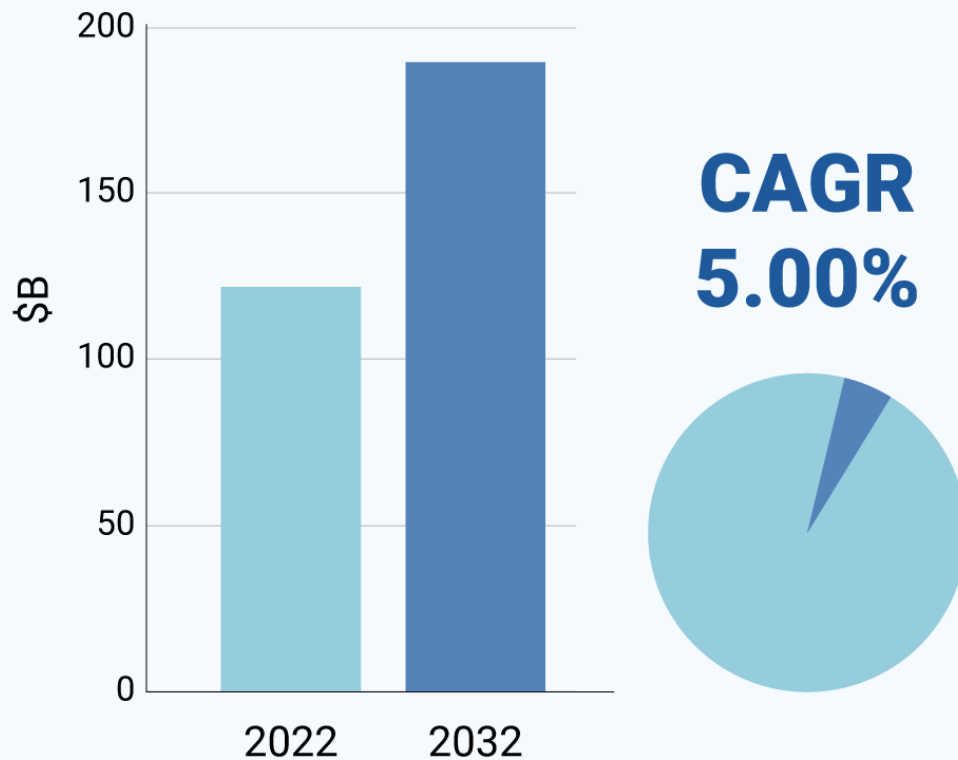
Fighter jets need replacement parts, Navy ships need repairs, helicopters need maintenance, and drones crash and need rebuilding.

This work is called "sustainment" - and in times of peace, it's not usually a priority.

Since 2022 though, the U.S. has sent thousands of missiles, artillery shells, and weapons systems to help Ukraine fight Russia.

This depleted our weapons stockpiles faster than American factories could replenish them.

Aerospace defense maintenance repair overhaul (MRO) market size, 2022-2032



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Data via [Reportsanddata.com](https://reportsanddata.com)

As a result, critical systems sat broken because replacement components weren't available. Unusable weapons leave the U.S. exposed to outside threats.

At the same time, rising tensions with China in 2025 created supply chain problems since many parts for existing weapons platforms come from Asia.

So the concern has become: What happens if that supply gets cut off in a conflict?

Because of this, the government has included repair work and "sustainment" as a part of "readiness."

Our analysts had a chance to sit down with William Cuervo, VP of Sales, North America at 3YOURMIND, a defense manufacturing company.

William spoke on the modernization of MRO in the military,

"MRO is not just about improving repair speed; it's about transforming sustainment into a data-driven, distributed capability."

He went on to say, "When we connect advanced manufacturing, digital part identification, and secure digital threads, we enable both the organic industrial base and commercial suppliers to act as one adaptive ecosystem."

Many repair depots and parts manufacturers are now being labeled as critical infrastructure.

- Facilities considered critical infrastructure get military protection and special funding because they're considered essential to national security.

Here's what matters for investors: The military is legally required to maintain combat readiness, so they have to fund repairs. This money cannot be cut.

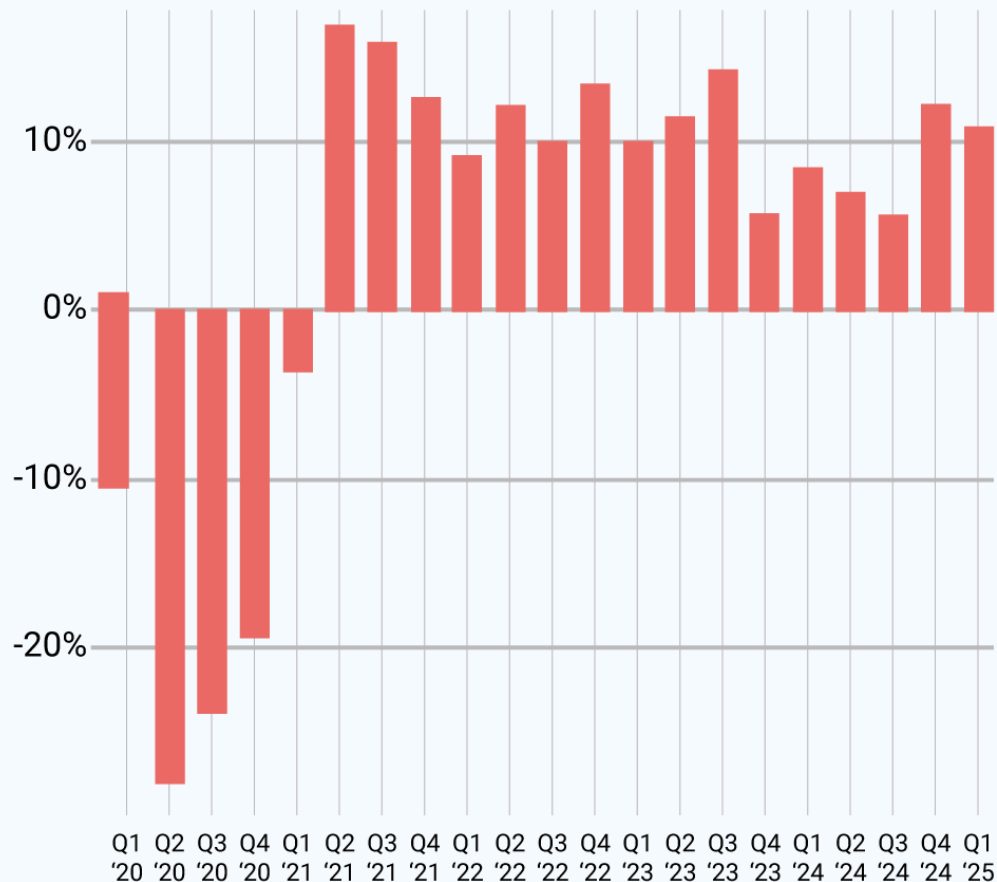
"On the battlefield, that means fewer grounded aircraft, fewer mission delays, and a force that can self-heal its supply chain. The future fight won't just be won by who has more equipment - it'll be won by who can repair, replace, and redeploy faster," says William Cuervo.

Companies like Lockheed Martin and General Dynamics design the weapons, but different companies often maintain them.

HEICO Corporation (HEI) specializes in this work.

HEICO organic revenue growth

■ Year-On-Year Organic Revenue Growth



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Data *via* Call & Times

HEICO does two main things:

They manufacture approved replacement parts for military systems, and they provide rapid replacement capability, meaning they can do repairs in combat zones on short notice.

They're certified by the DoD with the approvals and expertise needed.

Plus, they service nearly everything in the U.S. military inventory: F-35 fighter jets, F-18 jets, C-130 transport planes, Aegis destroyers, Columbia-

class submarines, and many more.

Investors have taken notice of how crucial repairs are becoming for the military - shares are up 35% year-to-date as of October 20th, 2025.

- HEICO shares are up 180% in the last five years, beating the S&P 500.

Its success has been amplified with rising geopolitical tensions, as more conflicts mean more weapons need to be made and repaired.



Data [via](#) Yahoo! Finance

In 2024, its revenue rose to \$3.8 billion, up from \$2.9 billion in 2023.

Coupled with a stream of funding from the DoD that cannot be cut, HEICO stands as a strong potential opportunity for investors.

ETFs

Broad Defense Options

BWX, Mercury, and HEICO are all included in major defense ETFs, though not always at high weights since they're tier-2 suppliers.

- A tier-2 supplier is a company that mainly supplies products and services to tier-1 suppliers like Lockheed Martin.

For investors who want broader exposure to defense without picking individual stocks, here are some options:

iShares U.S. Aerospace & Defense ETF (ITA) - provides wide coverage of U.S. defense contractors and aerospace companies.

Invesco Aerospace & Defense ETF (PPA) - tracks companies involved in developing, manufacturing, and supporting U.S. defense systems.

SPDR S&P Aerospace & Defense ETF (XAR) - offers equal-weight exposure across the aerospace and defense industry.

These ETFs spread risk across dozens of companies, giving you exposure to prime contractors like Lockheed and RTX, but also to tier-2 suppliers like the ones we've covered.

For investors who prefer a passive approach to this shift, these funds may be worth watching.

RISKS

Breaking the Defense

Government contracts can change, Congress can delay funding, and new administrations can shift priorities.

These companies are trading higher based on existing contract backlogs, so if those contracts get reduced, their stock prices may fall as a result.

These risks impact the entire defense industry - but each company we mentioned also faces individual risks:

BWX: Navy shipbuilding funds could see delays from Congress, and budget fights could push submarine construction timelines.

Mercury: They rely on contracts with major defense vendors, so if a big customer like RTX decided to build their own electronics or switch to a competitor, Mercury would lose significant revenue.

HEICO: If primary defense contractors face budget pressure and need to cut costs, they might squeeze their repair suppliers to save money.

These aren't new risks - these companies have dealt with government budget cycles for decades and know how to navigate them. But investors should understand risks still do exist.

That said, our analysts believe the current trend toward focusing on critical defense infrastructure and the bipartisan support behind it suggest these contracts have staying power.

REVIEW

The Future of Defense in America

For decades, America sent work overseas to reduce costs and increase profits.

But then, the pandemic broke supply chains, Ukraine exposed our limits, and tensions rising with China made our military realize we'd become dependent on a potential adversary.

Now, reindustrialization efforts are beginning - and investors may benefit from that work returning home.

Understanding the 21st century American industrial & manufacturing environment



The steady deindustrialization of the United States over the past live decades, including workforce and manufacturing workforce and manufacturing innovation.



The end of the Cold War, rendering obsolete the assumptions and requirements that drove a legacy Industrial Base aimed at defeating a peer competitor, the Soviet Union.



The advent of high-tech and advanced digital technology.



Rise of China as a dual threat, both military and economic.

Data [via](#) the Department of Defense

Investors will want to keep an eye on contract announcements in Q4 2025, Q1 2026 and the National Defense Authorization Act in late 2025.

That could mean an increase in backlog growth at these companies, as spending grows alongside demand.

And as demand and spending grow, so could profits, which means investors may be able to profit from the opportunities this shift is creating for the next several years.



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